Which Factors Contribute to the Accuracy and Efficiency of Horse Racing Betting Markets?

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ABSTRACT

This is the abstract.

- A brief introduction to the objectives.
- A brief description of the main work.
- A brief description of the contributions, major findings, results achieved and conclusion.

Acronyms

BSP — Betfair Starting Price
CDA — Continuous Double Auction
CLOB — Central Limit Order Book
DPM — Dynamic Pari-Mutuel Market
HKJC — Hong Kong Jockey Club
IP — In-play (after the off)
PNL — Profit and Loss
PP — Pre-play (before the off)
WAP — Weighted Average Price

Glossary

Arbitrage — A risk-free opportunity to make money
Back — A bet that something will happen
Daily Double — A bet on the winner of two consecutive races
Each-way — A combination of a win and place bet
Exacta — A bet on two horses which must come first and second

Lay — A bet that something will not happen

Off — The start of the race

Options Contract — A right but not an obligation to buy or sell a security at a given date.

Overround — The total implied probability of all events in a market

Pandas — Python library for data manipulation

Parlay — A single bet which links multiple consecutive wagers

Place — Come first or second in a race

Prediction Market — A market that facilitates bets on the outcomes of future events

Python — Programming Language

Show — Come first, second or third in a race

Tipster — Professional who publishes betting guides

1. Introduction

As of late, prediction markets have become a hot topic. Services such as Polymarket and Kalshi are offering the opportunity to bet on many world events. There has been research to suggest that prediction markets are more accurate than other forecasting techniques including polls (Berg, 2008). Horse racing markets are also fundamentally prediction markets, and have a long history of widespread use. As a prediction market, horse races provide good data since there are so many and the approximate date and time is known before hand. It is easier to determine their accuracy in this context as there are many repeated similar markets, unlike predictions for political events which can be very far apart.

Racing markets can be considered largely analogous to traditional financial markets, with the only real difference being social convention (Snyder, 1978). They do have one key difference, in that the lifetime of a bet is finite, and the lifetime of a stock is not (Thaler, 1988). In this way, they can be considered similar to binary options contracts, where there are two different payoff values dependant on the result of an external event. The difference between options and wagers here is that the value of an option is dependant on the value of an underlying asset at a future date. Because of this, options are priced using the Black-Scholes model (1973) where it can be shown that buying a combination of the underlying asset and a risk-free investment can produce a payoff equivalent to the option. If not priced this way, an arbitrage is apparent and an inefficiency in the market occurs. Without an underlying asset to hedge against, wagers must be priced differently.

In wider financial markets, it is typical for index funds to be selected from a certain subsection of securities. For example the S&P 500 tracks the top 500 stocks in the United States and the FTSE 100 tracks the top 100 companies on the London Stock Exchange. Both of these are examples of funds limited to investments within a ceratin region. Despite this, little research has been done on how prediction markets can be classified in similar ways for bettors to make informed decisions on selected groups of races only.

1.1. Motivation

I was motivated to research this area due to the recent popularity of prediction markets as a tool for forecasting. As well as this, the regulation surrounding prediction markets is currently heavy within the UK. This is because they fall under the jurisdiction of the Gambling Commission. Many of the newly popular prediction market sites are currently illegal to use within the UK, but established exchanges such as Betfair are completely legal.

Another interesting factor of being classed as gambling means that winnings within the UK are not taxed. This means that an equivalent strategy within a gambling market and the stock market may prove ultimately more profitable in the gambling market as the only fees to be paid are commission to the exchange. In the case of Betfair, commission can be even less than just 2% of successful bets.

I want to understand how different classifications of races can give us new insights into the markets. These insights can be used to aid in the identification of good practices for eliciting forecasting odds, or for the production of profit through betting strategies. Additionally, this research may be applicable outside of the horse racing context, especially in general prediction markets, but also financial markets as a whole.

1.2. Scope

This project explores how the classification of horse races can affect the accuracy and efficiency of the market. The classifications are both external factors and internal market factors. Existing research is used to determine the best practices for identifying accuracy and efficiency. A sample database of horse races will be compiled and tested against to obtain results.

1.3. Aims

This project aims to explore the relevance and impact of external and market factors on the accuracy and efficiency of horse racing markets. Horse races can be classified by various external factors such as race time, location and distance. Internal classifications involve market information such as volume or overround. Similarly, traditional financial instruments can be classified by external factors like their industry or location of operations. They also feature many of the same internal market factors including volume.

1.4. Objectives

To accomplish my aims I will:

- Perform a systematic review of existing research to determine existing standards for market accuracy and efficiency. Identify whether racing markets are generally considered to be accurate or efficient.
- Obtain an appropriate dataset for research.
- Determine the accuracy of my dataset.
- Determine the efficiency of my dataset.
- Determine several classifications of horse races to compare.
- Determine the relative accuracy of the classifications.
- Determine the relative efficiency of each of the classifications.

- Attempt to exploit any inefficiencies for profit.

2. Background

2.1. Bookmaking

2.1.1. Fixed-Price Odds

A fixed-price bookmaker will quote prices (odds) at which they are willing to sell bets. If the bet pays out, the bettor receives the return originally quoted to them. The bettor is given a guarantee of their winnings before placing the bet. It is important to note that it is unlikely a bookmaker will allow a bettor to ‘‘lay’’ a bet, that is to bet that something *will not* happen. Bookmakers make their money by appropriately setting odds such that in all cases (or at least over a period of time), they will ensure a profit. This is done by changing odds to account for the amount of money bet already (balancing the books) and by providing unfair odds that do not sum to one.

2.1.2. Parimutuel Odds

Parimutuel betting (commonly known as a ‘tote’ in the UK) is a system in which money for all bets is placed into a pool and then distributed to winning bettors. This means that bettors are not given an exact payout quote at the time of purchasing their bet, but they may be given an estimate. Tote operators make money by taking a certain percentage of the pool for themselves, typically called the ‘‘track take’’. These types of bets are typically facilitated by the track operator themselves, such as the HKJC (Hong Kong Jockey Club, 2026).

2.1.3. Betfair Exchange

Betfair is a UK based company which operates a betting exchange service. A betting exchange is different from a typical bookmaker in that instead of the operator quoting odds prices or offering a tote service, it allows users to form bets with one another. Betfair does this using a CLOB, allowing users to either back (long) a bet or lay (short) one. Within the context of a horse race, this means that the win market (where bets are paid out only if the horse places first) features a different asset for every selection (runner) in the race. They can be thought of as largely analogous to options contracts, where the layer agrees to pay the backer a certain sum of money dependent on the outcome of the race.

A unique feature of the Betfair racing market is its "starting price" betting. Bettors who use the starting price option have their bets matched into the market at the off (when the race begins). They are also able to set minimum odds to back or maximum odds to lay. The price determination maximises volume and gives backers and layers the same price. In order to do that, existing positions within the CLOB may be matched against as well. Starting price bets aren’t guaranteed to be matched if the odds limit is at or above the starting price (Betfair,).

2.2. Literature Review

2.2.1. Accuracy of Horse Racing Markets

2.2.1.1. Measurement of Forecast Accuracy

One of the earliest methods for scoring the accuracy of a forecast is provided by Brier (1950). The Brier score is determined as a result of many predictions using the mean squared difference between the estimated probability and the actual outcome. Formally:

$$BS = \frac{1}{N}\sum_{t=1}^{N}(f_t - o_t)^2$$

where f_t is the forecast probability, o_t is the actual outcome (0 if did not happen or 1 if did) and N is the number of forecasts. In this system, a perfect forecast is given a score of zero. This can only be achieved if the forecast guesses with 100% certainty every time. Ranked Probability Score (Epstein, 1969) is an extension of the Brier score to support multiple outcomes Ranked Probability Score with binary outcomes can be shown to be equivalent to the Brier score (Weigel, 2007). Brier score will be the most useful in this report, as in (most) betting markets there are only two possible outcomes: a winning bet or a losing bet.

Good (1952) developed a method for scoring estimates of probabilities now known as log-loss. This method has since become popular as a scoring mechanism for machine learning models as it highly punishes overconfidence in incorrect predictions. For a multiple class classification problem:

$$LL = -\sum_{t=1}^{N} o_t \log(f_t)$$

where f_t is the forecast probability, o_t is the actual outcome (0 if did not happen or 1 if did) and N is the number of forecasts. A horse race only has one winner and so for a single race win market, it can be shown that $LL = -\log(f_{winner})$. Log-loss has become incredibly popular as a cost function (function that scores prediction accuracy) for machine learning. Machine learning textbooks (Goodfellow, 2016; Murphy, 2022) share that log-loss should be considered the standard cost function. Since log-loss easily supports binary outcomes, it can be applied in addition to Brier score as a measurement of accuracy for betting predictions. Because every non winning horse contributes the same score of zero, it appears to me that Brier score is more appropriate for general ranking of horse race win forecasting as it incorporates more information from the losing horses.

Wunderlich and Memmert (2020) demonstrated that the betting returns of a strategy are not necessarily indicative of accuracy in a forecasting model, despite demonstrating profitability. Instead, there is a difference in a model forecasting accurately and profitably.

2.2.1.2. Use of Markets for Forecasting

Current research shows prediction markets to provide accurate estimates of outcomes for elections over both long and short time frames (Berg, 2008). Rothschild (2009) showed that, when used appropriately, prediction markets can perform significantly better than the very best polls. Another study found prediction markets to outperform a survey when used to predict the reproducibility of studies published in psychology journals (Dreber, 2015).

Because of the demonstrated favourite-longshot bias in horse racing, many studies attempt to convert odds given by bookmakers or markets into ‘‘real’’ probabilities. Štrumbelj (2014) used Shin’s (1993) model to create more accurate forecasts than those created through odds normalisation or regression. These methods are criticised by Clarke et al. (2017) for potentially

producing negative probabilities and in the case of normalisation, not accounting for the favourite-longshot bias. They share that an alternative power method instead performs as well as Shin's, or better.

Strijbis and Arnesen (2019) find that the setup of the market influences accuracy the most, while features of the event and the market's participants have an insignificant impact. Prediction markets require the right incentives in order to produce the most accurate and up to date forecasts (Chen, 2010). Markets will also suffer if a group of insiders are able to influence the outcome. If the goal of the market is to produce the best forecast, then it must incentivise immediate truth-telling instead of deception. Pennock (2004) suggests an alternative ''dynamic pari-mutuel market'' (DPM) which functions similarly to typical parimutuel betting. A DPM allows investors to buy and sell bets at a changing rate determined by the market, giving them an opportunity to hedge or sell their bets early.

2.2.1.3. Favourite-Longshot Bias

The favourite longshot-bias has been demonstrated within racing markets as far back as 1949 (Griffith, 1949). This is a phenomenon in which bettors tend to prefer to bet on outlier horses, as opposed to the safer options. In turn, this moves the odds given by the market as favourite horses are given worse implied probabilities of winning and longshots are given better implied probabilities of winning. Other than the long and short-odded horses, Griffith found that the odds for horses were on average accurate.

Some studies have attempted to determine why this is the case. Weitzman (1965) used utility theory to derive a utility curve for one bettor and found it to be similar to the theoretical one proposed by Markowitz. To follow this study, Ali (1977) observed over 20,000 races and found the favourite-longshot bias to be present. Ali creates a wealth utility function and determines that the average bettor values risk, thereby causing the discrepancy in prices. Subsequent research has also conjectured that bettors have a preference for risk at the racetrack. Kanto et al. (1992) found this to be the case using a data sample from Finland.

Golec and Tamarkin (1998) suggested an alternative explanation for the favourite-longshot bias. They claimed that it was possible that bettors could actually be risk-averse and instead have a preference for skewness. Skewness here is the asymmetry of betting returns about the mean. To back this up they examined popular betting strategies and determined that they were better aligned with a preference for skewness rather than risk. Another theory is put forward by Snowberg and Wolfers (2010) which states that the bias can be accounted for by the misperceptions of risk by the bettors.

The bias has also been shown to not be universal. In contrast to the evidence found in North American markets, Busche and Hall (1988) found that bettors at the Hong Kong Jockey Club do not exhibit the same apparent risk-loving behaviour. They posit that the larger betting volume in Hong Kong may influence the bias.

2.2.2. Efficiency of Horse Racing Markets

2.2.2.1. Measurement of Market Efficiency

Fama (1970) set out three tests of efficiency for markets depending on how rigourously they can be described as efficient. An efficient market is one that is said to fully incorporate all the available information into the prices. This means that, for an efficient market, it should be

impossible to create a profit generating strategy. For a market to be *weak form* efficient, the information set is constrained to that of historical price data. The *semi-strong form* tests also incorporate information widely available to the general public. In the *strong form* tests, the insight of investors with insider knowledge is also considered.

A significant amount of research into the study of efficiency in racing markets is specifically focussed on parimutuel markets. This is the most common market for racing in the United States as well as Hong Kong. Comparitively little exists for markets using a CDA such as Betfair.

2.2.2.2. Relationship of Exotic Bets

A lack of market efficiency can be demonstrated by comparing the prices of exotic betting options with equivalently produced parlays. Exotic bets involve betting on a combination of different outcomes for different horses within one wager. Popular examples include the daily double, in which the first two winning horses of the day must be predicted correctly, and an exacta, where the first two horses of a race must be predicted in order. A parlay is similarly a wager of multiple outcomes, however can be constructed from multiple seperate bets with the winnings from earlier bets accumulated into future ones.

Certain exotic bets can be shown to have an equivalent payoff function to an appropriately constructed parlay. For the market to be considered efficient, both the exotic bet and the parlay must have an equivalent price. This difference in a typical financial market may be considered an arbitrage opportunity as one would be able to buy at the low price and sell at the high price, guaranteeing a profit. Within parimutuel markets however this is not possible, as bets cannot be bought and sold at different prices.

Ali's (1979) analysis of 1,089 racing days uses this principle to compare the prices of daily doubles and their equivalently constructed parlays. In this analysis, Ali finds that the efficient market hypothesis could possibly hold for racing markets as the difference in price between the exotic bets and the parlays is not statistically significant. In a different study however, Asch and Quandt (1987) find that for both exacta and daily double bets, their payoffs are not the same as equivalent bets on individual horses, thus demonstrating market inefficiency.

It is uncommon for betting exchanges to offer any betting options for horse races outside of win, place and each-way. This means that a comparison of exotic bets and parlays is not possible. While it may be possible to compare the prices of the win and place bets to the each-way bets, the limited volume of non-win markets makes this difficult.

2.2.2.3. Betting Strategies

The most obvious way to demonstrate a lack of market efficiency is to produce a simple, profitable betting strategy.

In a study of 1,730 races in American parimutuel win markets, Snyder (1978) showed that because of the favourite-longshot bias, prices were indeed more favourable for the favourite horses, but the track take was too significant for a strategy of favourite betting to be profitable. This indicates some level of *weak form* efficiency, however without the track take present (and betting habits remaining the same), it would be certainly impossible to describe the market as informationally efficient. Snyder also demonstrated that this bias exists among betting experts (or "tipsters") which makes it seem also unlikely that the market is *strong form* efficient.

Hausch et al. (1981) set about creating a technical betting system for place and show markets. Their strategy only used historical pricing data and so attempts to demonstrate a lack of *weak form* efficiency. They argued that their system successfully exploited a market inefficiency and was able to generate a consistent profit. With a follow up paper, Hausch and Ziemba (1985) greatly improved the system making it more profitable and applicable to any racetrack. They also demonstrated how more people using the system would ultimately cause the market to become efficient.

3. Methodology

3.1. Data Source

Historical odds pricing data is typically very difficult to find if not impossible from most bookmakers. This was a significant factor in choosing to use prices from the Betfair exchange. Betfair provides historical betting data at multiple levels of resolution including a generous free tier. The data provided in this set is structured like exchange data, with multiple entries per race documenting changes in prices over time. For my purposes, this is beyond what I need as I am only interest in the BSP and not the price evolution. I used this dataset at first but found this is beyond what I need for my purposes, as I am only interested in the BSP and not the price evolution.

Betfair also provides a directory of starting price files and allows users to filter them by location and market type. This dataset contains some useful information not included in the free tier of the standard historical data files such as trade volume and minimum and maximum prices for each selection. It is also significantly larger, containing data from as far back as 2008, compared to 2016 with the other set. In total, the dataset contains odds data for over 170,000 win markets in the UK. This is the dataset I chose to use as it was the most comprehensive and most simple to use. It is worth noting that the market mechanism for the Betfair exchange is different from the typical parimutuel markets explored in other research and so results using this dataset can not be directly compared, but they are still worth using to explore the impact of a different market type.

I had originally also considered using multiple datasets to compare different markets. To this end, I obtained a dataset from the Hong Kong Jockey Club but it was not sufficient for this project as it only contained information from 2,000 races.

3.2. Classification

I decided on a few different classifications to compare between. These were decided mostly due to what was available within my dataset. I wanted to get a varied range of groupings as it was not clear which, if any would produce interesting results. For external factors, I chose: race number, distance, hour of day, race type, location, number of runners. Number of runners could also potentially be considered a market factor, as it affects the number of possible selections to choose from within the market. The market factors are pre-play trade volume and overround.

3.3. Accuracy

As a baseline, the existence (or non-existence) of the favourite-longshot bias within the dataset should be established. This is important as it is an expected market inaccuracy

consistently found across the literature. A change in the bias could indicate different sub groups of bettors within horse racing with different utility estimates. The favourite-longshot bias can be shown by looking at the mean returns for horses grouped by odds.

I will plot the implied probabilities given by the odds against the true (observed) probabilities. This will be a clear indicator of accuracy, as these two values should be the same for an accurate market.

Brier scores and log-loss will also be used. With the entire dataset given as a benchmark, the groups produced by the different classifications will be compared to see if they are to be considered more or less accurate by these test statistics. These values give a more concrete value to compare accuracy between.

3.4. Efficiency

Due to my choice of dataset, I do not have an opportunity to compare prices of exotic bets to parlays. This means that the most straight forward way to test for market efficiency is to subject the market to various betting strategies. The existing research for this is done in the context of parimutuel betting, where it is known how exactly a bet will change the odds within the market (Hausch, 1981; Hausch, 1985). Because of this, I will not be able to employ the same strategies, beyond the simplest of betting the same amount on favourite horses.

The first strategy I will implement simply bets one unit on the favourite horse. This is one of the simplest and most widely implemented strategies. As a slight twist on this, I will implement a similar strategy where the size of the bet is determined by the implied probability of the odds price. This is intended to hedge potential losses from horses with a lesser chance of winning.

I will also test a slightly more involved strategy. This strategy will take a running average of how likely it is that the favourite horse has won and take this value to be the true probability of the favourite horse winning. The probability will be plugged into the Kelly Criterion in order to determine the size of a bet. That is: $f* = (bp - q)/b$ where $f*$ is the fraction of wealth to bet, p is the likelihood of the bet winning, q is $1 - p$ and b is the proportion of wealth won if successful (Thorp, 2006). While this strategy will help identify market inefficiencies, it is not pratical for real use as it does not take into account how placing a bet will move the market. Since this strategy relies only on historical price data, it intends to demonstrate a lack of *weak form* efficiency.

4. Implementation

4.1. Data Acquisition

I produced a Python script to automatically download all of the files found in my dataset and process them to be used within Pandas. The script saves the data to binary files for quick retrieval. It makes sure to not redownload files it has already obtained so it can easily update the existing database. As well as this, it automatically slows down when rate limited to ensure that all files are downloaded.

Another script transforms the flat file structure into a relational one. The relational structure avoids duplicating data and keeps unrelated information separate. This data is formatted into three different tables: events, races and, runners.

4.1.1. Events

Field	Data Type	Notes
event_id	Integer	Unique identifier provided by Betfair
location	String	
event_date	Datetime	

4.1.2. Races

Field	Data Type	Notes
race_id	Integer	Unique identifier provided by Betfair
race_type	String	Indicates the format of the race: handicap, hurdles, chase, etc.
race_time	Datetime	
distance_f	Integer	Furlongs are one eigth of a mile long.
race_no	Integer	Races are given numbers indicating their sequence position within an event.
event_id	Integer	Relational key.

4.1.3. Runners

Field	Data Type	Notes
selection_id	Integer	This identifier is unique per horse, not per entry.
selection_name	String	
win_lose	Boolean	Win=True, Lose=False
bsp	Float64	Betfair Starting Price
implied_odds	Float64	1/BSP
ppwap	Float32	Pre-play weighted average price.
morningwap	Float32	Weighted average price of bets before 11AM GMT
ppmax	Float32	Pre-play max price.
ppmin	Float32	Pre-play min price.
ipmax	Float32	In-play max price.
ipmin	Float32	In-play min price.
morningtradedvol	Float32	Trade volume before 11AM
pptradedvol	Float32	Trade volume before the off
iptradedvol	Float32	Trade volume after the off
race_id	Integer	Relational key.

4.2. Software Development

I decided to use Python through Jupyter Lab to write and run my software as it is what I had the most experience with for statistical analysis.

4.2.1. Data Structure and Statistics

4.2.1.1. Pre-Processing

I pre-processed my data to include some more fields that would be useful. Pre-processing fields like this means that the calculations do not need to be repeated later on.

The first field to be added was a normalised probability field. This is useful as the implied odds given by the starting price (almost) never sum to be one. The sum of implied odds given is known as the ‘‘overround’’. An overround greater than one for a back market shows that there is negative arbitrage and a weighted selection of back bets is guaranteed to lose money. Since the data for this project is using the BSP, it can trivially be shown that it is possible to arbitrage almost every single market. This is because for BSP, both back bettors and lay bettors are given the same price. In real terms this arbitrage is actually impossible to achieve however, as the BSP is not possible to know before the off, and by betting this way you are certain to move the market.

I then added fields for partial pre calculation of the Brier score and Log-Loss. This is particularly useful as it means that to determine the scores for a certain subset of races, they can simply be summated using the groups generated in the next section.

4.2.1.2. Categorisation

Given the available data from my dataset I decided upon a list of ways to categorise the horse races: race number, distance, hour of day, pre-play trade volume, race type (handicap, hurdles, etc.), location, number of runners and, overround. To do this I produced a list containing these different classifications of races created using the `groupby` method in Pandas. The `groupby` method makes it easy to perform aggregate calculations per group created through the method. This means that a function such as `sum` will be ran per group, instead of for all data in the DataFrame.

4.2.2. Trading Strategies

Trading strategies are implemented using a system in which the strategy function receives a list of available runners to bet on and returns a ‘‘bet slip’’. The bet slip contains information about which race and runner it chose, as well as the amount bet and whether or not the selection won. The amount bet is able to be submitted as either an absolute value, or as a percentage of the currently held bank value.

The bet slips are passed to a function which actions the bets and determines the PNL for each one. It also sorts the bets over time to generate a timeline of events.

Each betting strategy is written using vector based functions. This allows the underlying library (Pandas or Numpy) to perform many operations in parallel. There are two primary benefits to this. Firstly, it significantly improves the readability of the code as the need for looping is removed. The code is much more representative of what is actually happening. Secondly, there is a major performance increase by writing the software in this way.

4.2.2.1. Naive Strategies

4.2.2.2. Learning Strategy

5. Results, Analysis & Evaluation

5.1. Accuracy

5.1.1. Favourite-Longshot Bias

5.2. Efficiency

6. Legal, Social, Ethical & Professional Issues

- Use of live animals?
- Profit Derived from gambling losers
- Similarity to stock market
- legality of companies betting

7. Conclusion

8. Future Work

- compare polling/other forecasting?

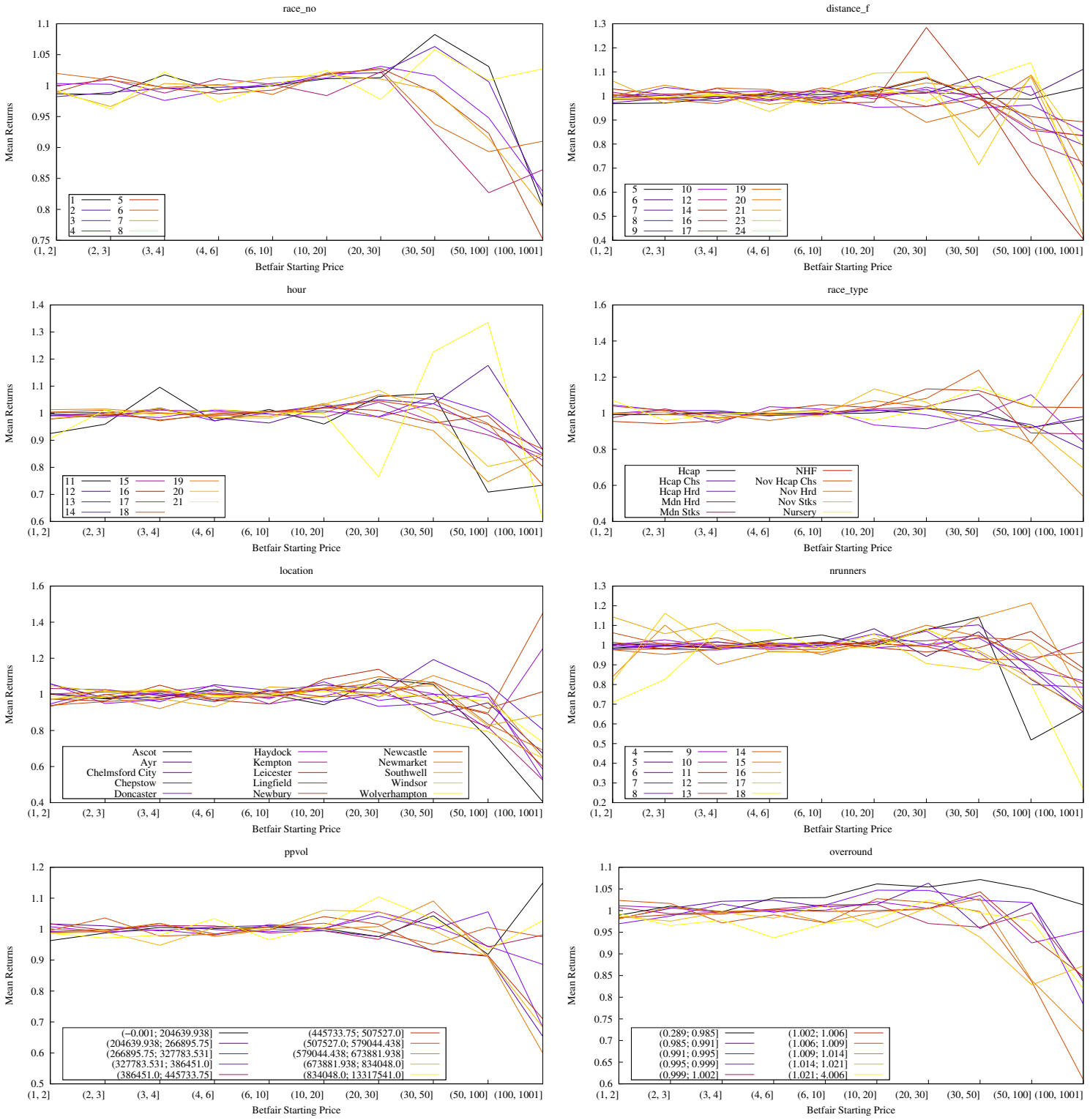


Figure 1: Favourite Longshot Bias

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Table of Contents

Acronyms . . . 1
Glossary . . . 1
Introduction . . . 2
  Motivation . . . 3
  Scope . . . 3
  Aims . . . 3
  Objectives . . . 3
Background . . . 4
  Bookmaking . . . 4
    Fixed-Price Odds . . . 4
    Parimutuel Odds . . . 4
    Betfair Exchange . . . 4
  Literature Review . . . 4
    Accuracy of Horse Racing Markets . . . 4
      Measurement of Forecast Accuracy . . . 5
      Use of Markets for Forecasting . . . 5
      Favourite-Longshot Bias . . . 6
    Efficiency of Horse Racing Markets . . . 6
      Measurement of Market Efficiency . . . 6
      Relationship of Exotic Bets . . . 7
      Betting Strategies . . . 7
Methodology . . . 8
  Data Source . . . 8
  Classification . . . 8
  Accuracy . . . 8
  Efficiency . . . 9
Implementation . . . 9
  Data Acquisition . . . 9
    Events . . . 9
    Races . . . 10
    Runners . . . 10
  Software Development . . . 10
    Data Structure and Statistics . . . 11
      Pre-Processing . . . 11
      Categorisation . . . 11
    Trading Strategies . . . 11
      Naive Strategies . . . 11
      Learning Strategy . . . 12
Results, Analysis & Evaluation . . . 12
  Accuracy . . . 12
    Favourite-Longshot Bias . . . 12
  Efficiency . . . 12
Legal, Social, Ethical & Professional Issues . . . 12

Conclusion 12
Future Work 12
References 13